

what people are looking for is a resilient supply chain—they're looking for a supply chain that's cost effective by land, is resilient and vertically integrated. India has work to do on that. Just like I talked about capacitors and resistors, and all of that are not easily manufactured to scale in India today. So building those kinds of things is going to take a lot more time.

But I think the right first step is building up scale for local manufacturing and domestic consumption, and that is going to lead to making your supply chain more productive, efficient and resilient for global manufacturing. So it depends on the end product. I'd say that [is what] we're trying to achieve here. Cars are a great example just for the number of cars that are being manufactured in India, and what's required in building big automotive infrastructure in India itself is pretty significant; and then taking that to a global scale and exporting them becomes a reality.

Q: Flex has been operating in the country for the past many years. What are the key pain points for a contract manufacturer like you in India?

A: Let's first talk about what's good. India has a very skilled labour force. And that's fantastic because we're able to find the kind of people we need for the work. That's very important for us. Without skilled labour, we can't do anything. So India is a place we feel comfortable in our ability to attract and hire people, and have a workforce that we are proud to have. The second thing that we like a lot is in terms of the complexity of engineering, resources and all of that to bring in automation to scale. That's very [readily] available in India today.

In terms of pain points, the biggest thing I would say would be that we still have to bring in a lot of products into India to make fully assembled products, because the supply chain is not fully developed. So, that always adds complexity. In a bill of materials, if 50 per cent is procured from outside the country, then

ON THE PLI SCHEME

Things like the PLI scheme help. As you're trying to help build a manufacturing sector in India, you need those kinds of support structures to develop it to get scale [so that] it's competitive and has its own legs.

ON INDIA AS A GLOBAL MANUFACTURING HUB

If India achieves self-sufficiency for local consumption, that would be the first step. The second would be to become a manufacturing hub where you can export to the rest of the world.

ON UPSKILLING

I am a big believer that the upskilling of the manufacturing workforce will continue to happen... Upskilling of the manufacturing workforce is just an exciting place to be.

ON INDIA'S ADVANTAGES

India has a very skilled labour force. And the resources [required] to bring automation to scale are also readily available [in the country].

it is complex in terms of managing that value chain versus putting it together locally. The continued focus on building an end-to-end supply chain fully really helps, moving forward.

Q: There is a fear amongst some of your peers that a change in government would introduce many more changes and India is not very stable when it comes to setting up or expanding operations. What is your view?

A: Almost in any country in the world, any [change in] government and [lack of] stability never helps these conversations. But in India, I feel, to some extent that story has progressed forward. And it would be hard for almost anybody to come into power in India and not continue to support and accelerate these policies that have started. Whether it is to reduce the bureaucracy, whether it is to make things easier to apply for, it's hard to take a step back. So I'm quite optimistic that any government that is in power in India will continue to support these kinds of movements in the right direction.

And the way the world is today, it is very obvious and [they] have to make those improvements to build infrastructure in India. And so I feel very confident that future governments will continue to support these schemes or these processes that have started to reduce bureaucracy. And will continue to accelerate.

Q: With the adoption of technology, manufacturing—which used to be labour intensive—is evolving rapidly. Would we see the employee count in the manufacturing sector falling across the world in the next decade?

A: I am very optimistic in my thinking on this. I started at a factory floor 30 years ago. A lot has changed from a technology automation standpoint. But the human element of it, the way it has changed is in terms of having a different set of skills. I am a big believer that the upskilling of the manufacturing workforce will con-